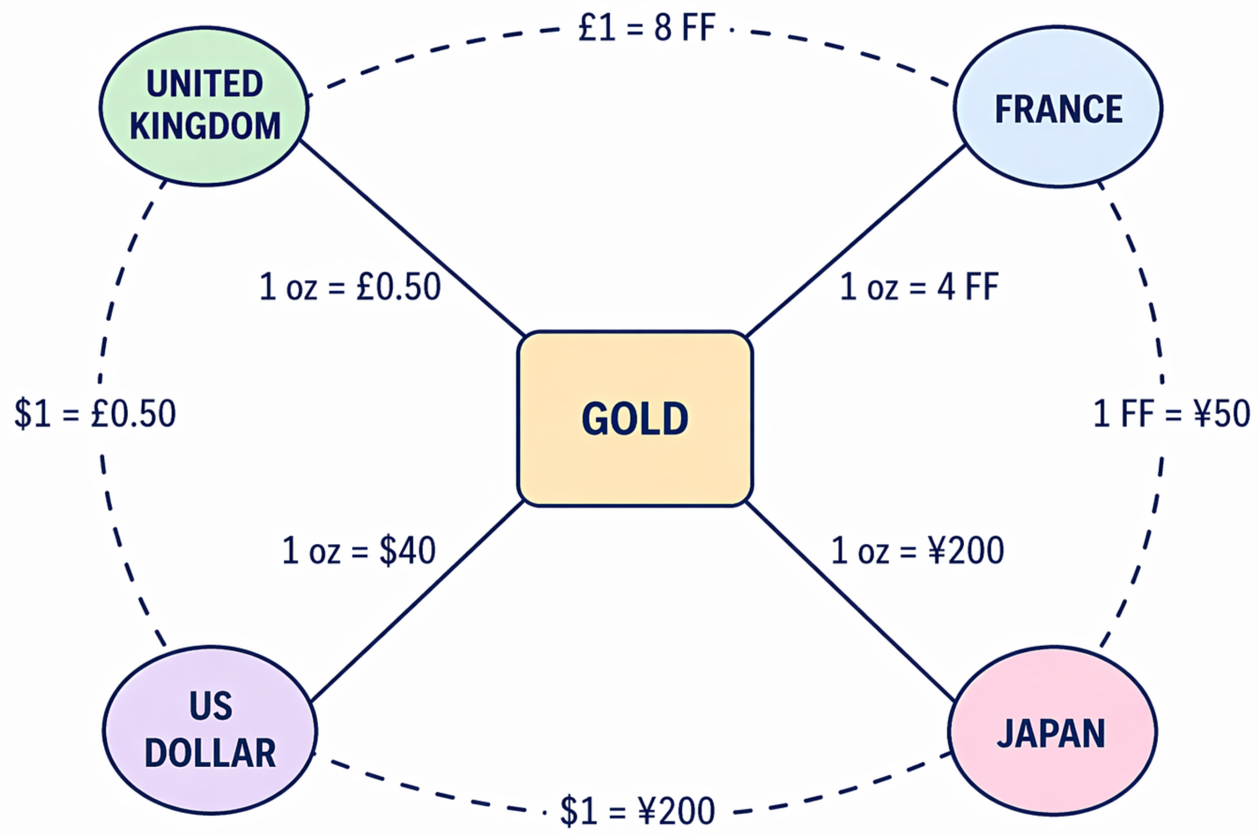
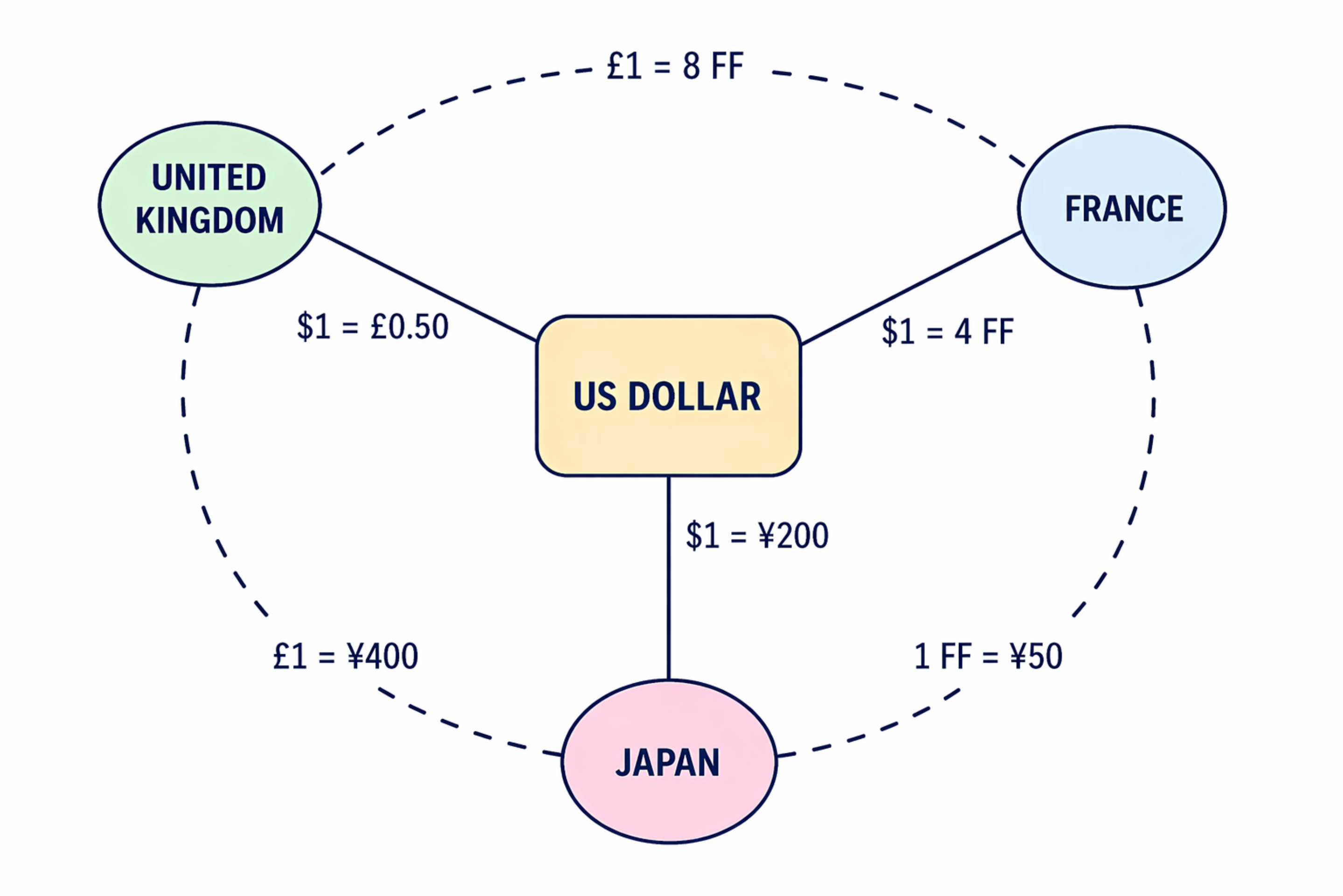
ECON 1550 International Finance

The Gold Standard

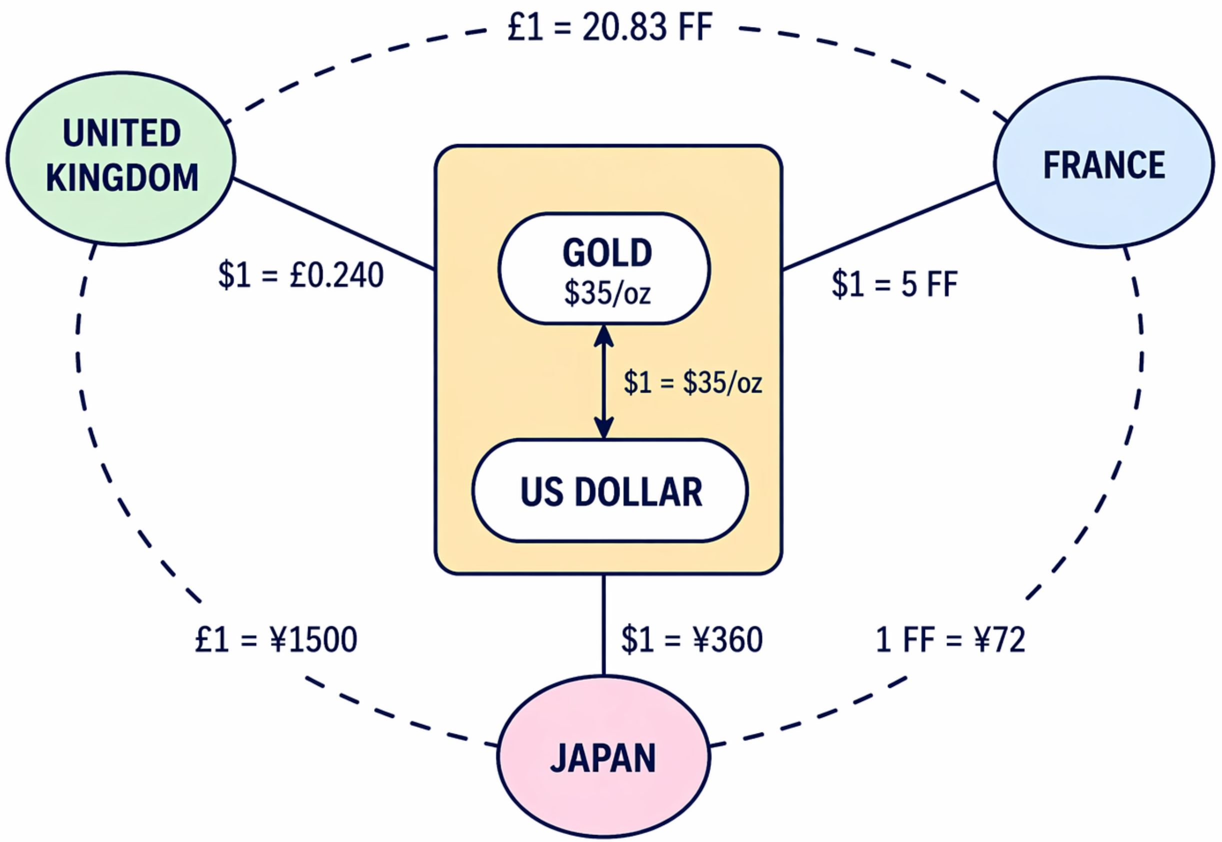
The Gold Standard



The Reserve Currency System



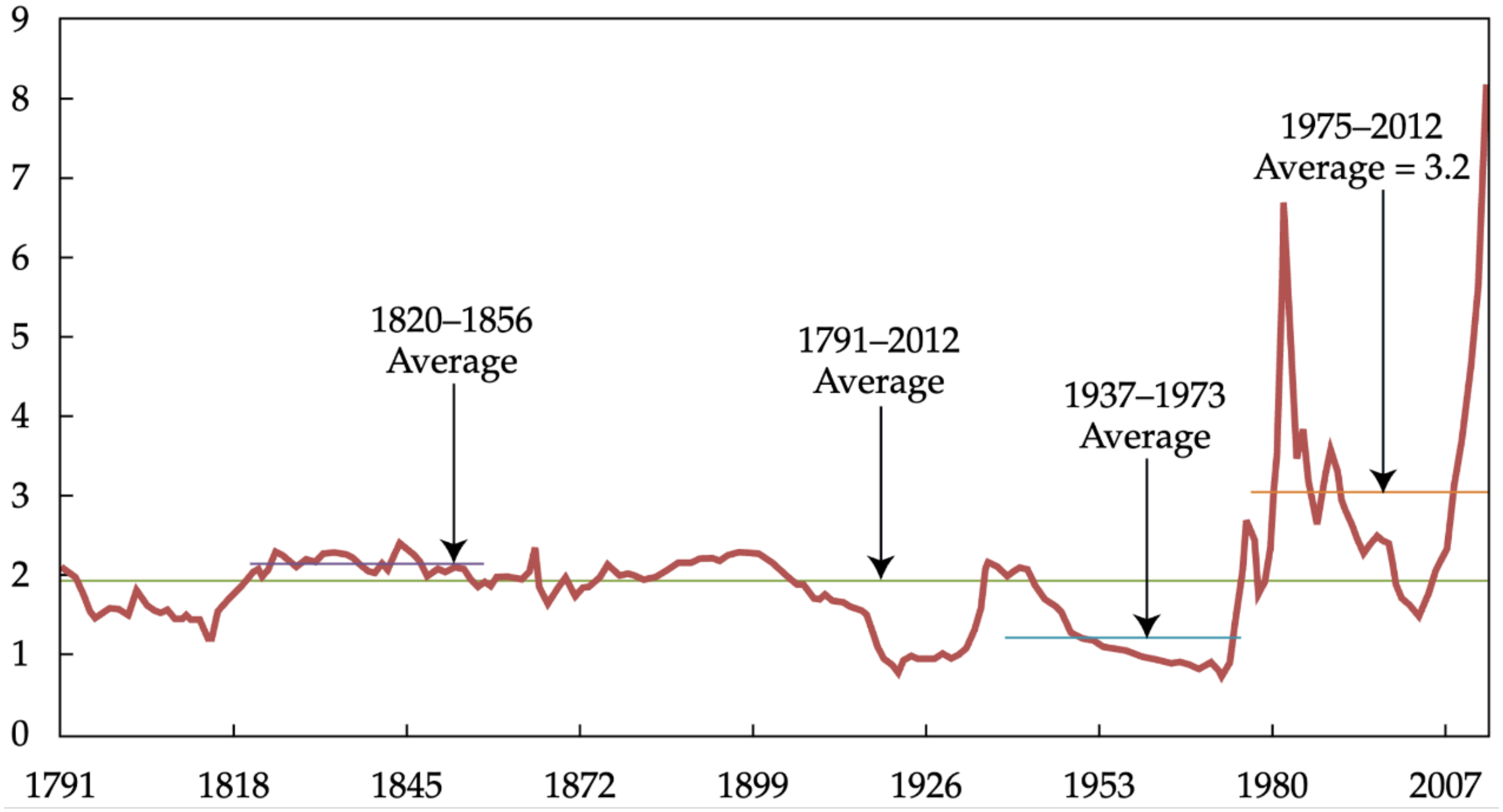
Gold Exchange Standard



Benefits of the Gold Standard

- Limits excessive money creation
  - Rapid money growth would raise *all* prices — including gold's
- Stable and predictable exchange rates
  - Enhances the transactions economies from using money
- Gold perceived as safe

The Real Price of Gold 1791–2012

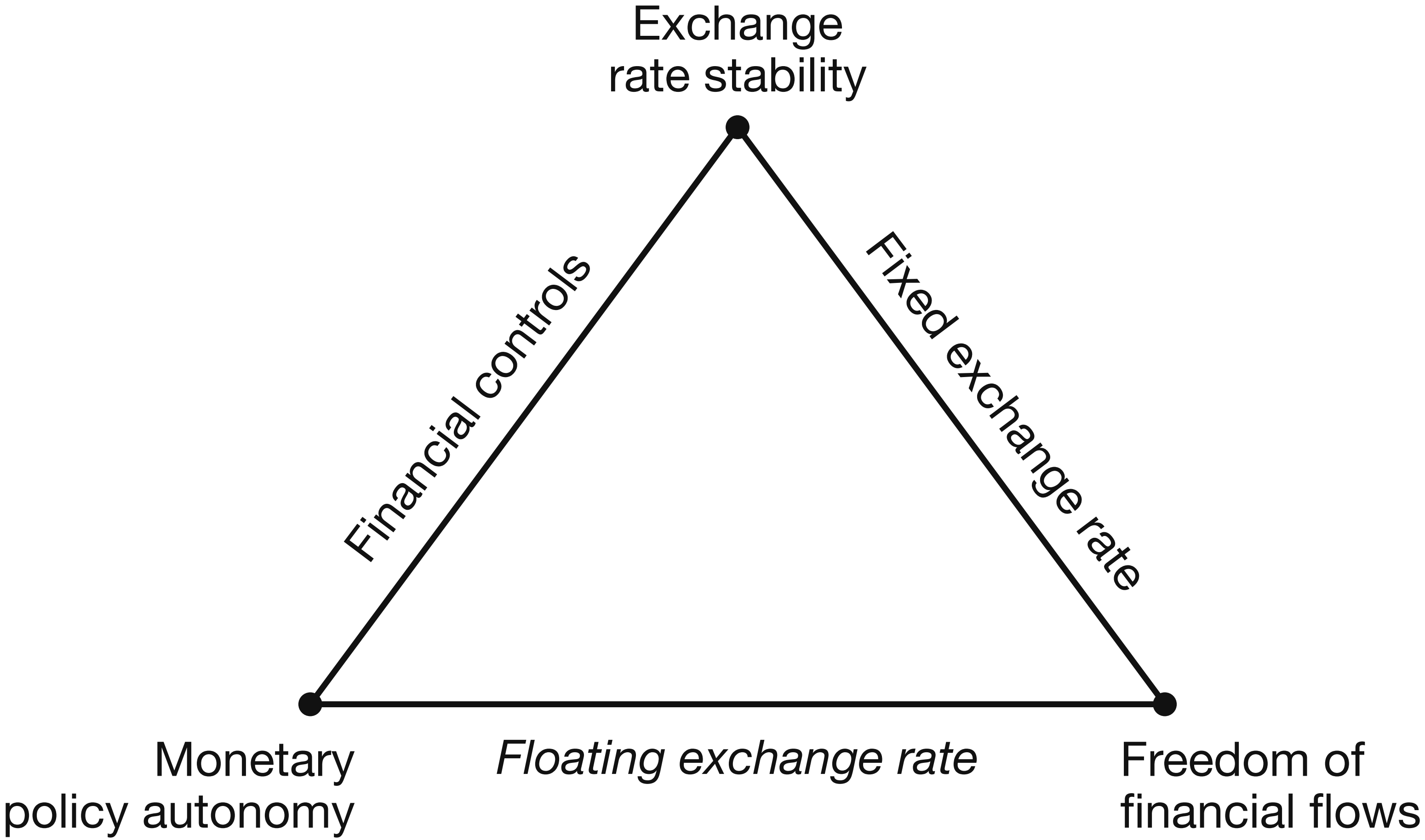


Source: Erb & Harvey (2013)

Drawbacks of the Gold Standard

- Constrains monetary policy
- Large price-level swings from shifts in gold's relative price
- Reserves cannot grow with economies unless new gold is discovered
  - Scramble for reserves $\Rightarrow$ central banks shrink money supply $\Rightarrow$ world unemployment
- Gold producers (e.g., Russia, South Africa) benefit asymmetrically

The Impossible Trinity



The Bretton Woods Conference (July 1944)

Bretton Woods, NH

Parity Changes Under Bretton Woods